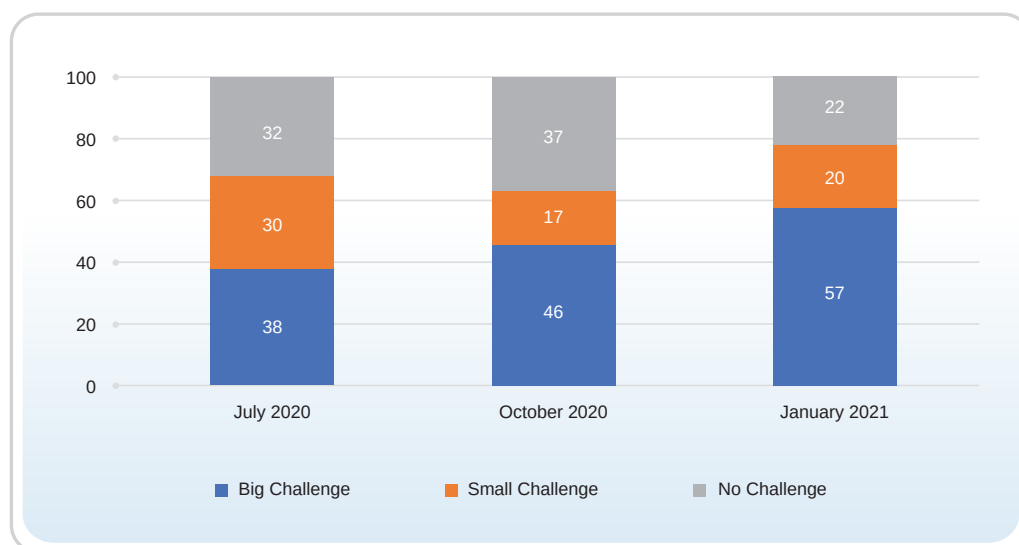


Figure 9.4.1: Challenges in importing amongst tourism MSMEs who import – all survey phases (%)



There were very few tourism MSMEs that exported in each survey round. The base is too small for any conclusive analysis.

9.5. Adapting to the New Normal: Changing Business Models

In all survey phases, several MSMEs in the tourism sector reported changing their business models. In July 2020, 167 tourism MSMEs mentioned that they changed their business model, in October 2020, 223 mentioned the same, and in January 2021, it was 183 MSMEs. Some changed models in more ways than one. The main ways across all phases that MSMEs made changes were:

- Adapting to social distancing;

- Devising new ways to reach customers through online markets or social media;
- Moving into new products and services in high demand during COVID-19;
- Reducing employee salaries.

Compared to previous survey round results, in January 2021, tourism MSMEs had increasingly shifted towards adapting to social distancing to operate (57%).⁶ Starting online marketing remained a popular choice, as nearly a quarter (24%) mentioned it in January 2021, compared to 28% in July 2020 and 31% in October 2020. Reducing employee salaries as an approach reduced considerably in January 2021 at 8% of responses compared to 21% in July 2020 and 24% in October 2020.

6. Compared to 38% in July 2020 and 22% in October 2020.